AR 2EB

ALAMEDA RESEARCH
2: ELECTRIC BOOGALOO
LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

INTERNAL RESEARCH · MEMO · NOT INVESTMENT ADVICE · AI-ASSISTED

Autodesk

NASDAQ : ADSK · Mature-Company DCF

$51.66B mkt cap · 211M sh · $2.6B cash, $2.5B debt · $2.60B cash vs $2.50B debt — roughly net-cash-neutral (~$0.1B net cash); ~211M shares; ~$448M buyback in Q1 FY27; Revenue $7.21B FY26 (+18% as-reported); GAAP op margin ~21.9%, non-GAAP ~39%; FCF $2.4B; ~98% subscription/recurring; Down ~26% YTD to ~$219; Starboard (~$500M, proxy fight) pushing margins

22 October 2026 · the qualitative

$244.84

THE CENTRAL QUESTION

Does mission-critical CAD lock-in plus a Starboard-forced margin expansion to ~45% offset a maturing top line — or has growth matured into the price?

Autodesk trades at ~$46.2B (~$219, down ~26% YTD) — ~19x FCF on $7.21B revenue, a ~98%-recurring CAD/design franchise, roughly net-cash-neutral. The +18% as-reported growth is flattered by an agency→direct billing change; underlying (cc-adjusted) growth is nearer ~8-12%. The bull is durable switching-cost lock-in plus a Starboard-forced lift toward ~45% operating margin by FY28; the bear is maturing growth and activist/execution noise. The finding is +39.3%: the bear is ~flat (-1%) and the modal case +39% on the lower underlying growth.

PROBABILITY-WEIGHTED EXPECTED VALUE

most likely case (base) +24.0% · 39% at or below spot

$304.79

expected fair value today

+24.5% vs spot $244.84

FORWARD COMPOUNDED VALUE

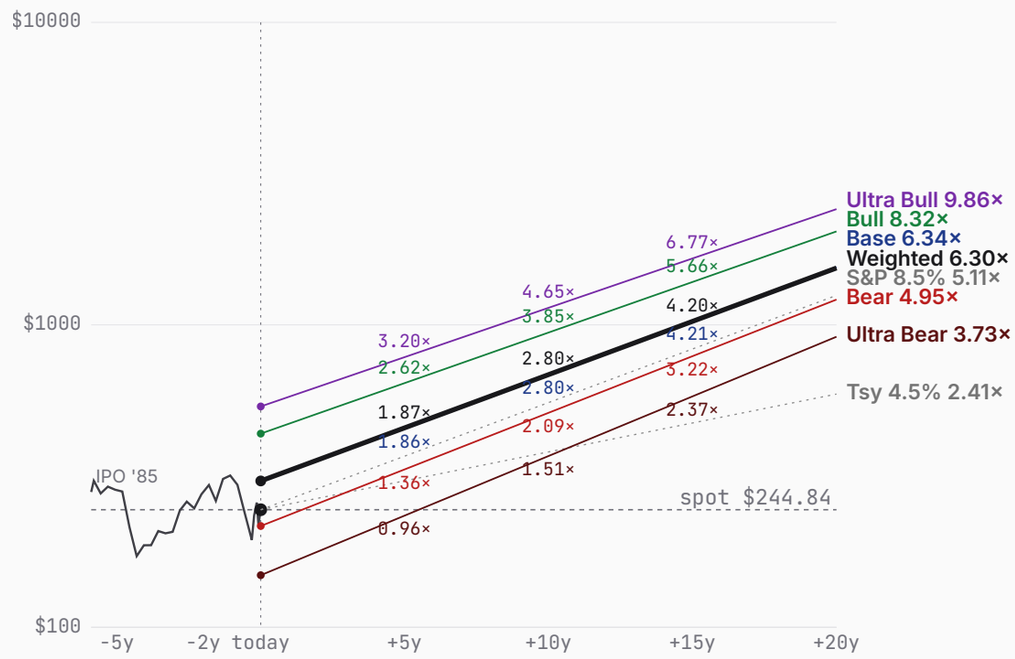
+5y	+10y	+15y	+20y
$456.72	$684.75	$1,027.14	$1,541.57
1.87× spot	2.80× spot	4.20× spot	6.30× spot

WEIGHTING RATIONALE

Ultra Bear 13% Growth stalls; activist fizzles; ~$149 (-32%).
Bear 26% Underlying ~6%; partial margin lift; ~$216 (-1%).
Base 34% Underlying ~8-12%; margins to mid-30s; ~$304 (+39%).
Bull 19% Activist delivers; margins near 45%; ~$437 (+100%).
Ultra Bull 8% ~45% margin + AI/cloud re-accel; ~$537 (+146%).

Bull (19%) + Ultra Bull (8%) together contribute $126.01 — 41% of the $304.79 expected value despite 27% combined probability. Today's spot ($244.84) sits 20% below the weighted expected.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



ULTRA BEAR — $148.74

-39.3% vs spot

CAGR +4.0% WACC 9.5%
CAGR +4.0% Prob 13%

Growth stalls; activist fizzles.

BEAR — $216.32

-11.6% vs spot

CAGR +6.4% WACC 9.0%
CAGR +6.4% Prob 26%

Underlying ~6%; partial margin lift.

BASE — $303.52

+24.0% vs spot

CAGR +9.0% WACC 8.5%
CAGR +9.0% Prob 34%

Underlying ~8-12%; margins to mid-30s.

BULL — $436.97

+78.5% vs spot

CAGR +10.4% WACC 8.0%
CAGR +10.4% Prob 19%

Activist delivers; margins near 45%.

ULTRA BULL — $537.38

+119.5% vs spot

CAGR +12.0% WACC 7.8%
CAGR +12.0% Prob 8%

Margins hit ~45%; AI/cloud re-accelerate.

NOT INVESTMENT ADVICE · Not from a registered investment advisor · AI-assisted analysis · Author may hold positions · See full disclaimers, page 7

AR 2EB | ALAMEDA RESEARCH 2: ELECTRIC BOOGALOO — LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

Autodesk scenario narratives

PROBABILITY WEIGHTS

Ultra Bear 13% Bear 26% Base 34% Bull 19% Ultra Bull 8% · Weighted expected $304.79 (+24.5% vs spot)

ULTRA BEAR $148.74

-39.3% vs spot

Probability 13%

Growth stalls; activist fizzles.

WHY 13%

The genuine bear: growth is already maturing (decelerating mid-teens before the billing flatter), activist campaigns can stall, and a construction/manufacturing cycle can bite. 13% weight on growth stalling with the margin lift fizzling.

WHAT HAPPENS

Underlying growth keeps fading toward ~4% as construction/manufacturing softens and the model-transition tailwind rolls off, while the Starboard campaign stalls: margins inch up but never approach the ~45% target. The franchise holds but compounds slowly off a flat top line.

A slow-growth, ~mid-20s% FCF-margin software franchise de-rates to a ~15x terminal FCF multiple — DCF ~$149 (-32%). The recurring base and near-net-cash balance sheet set the floor, but a stalled catalyst caps the value below today's price.

BEAR $216.32

-11.6% vs spot

Probability 26%

Underlying ~6%; partial margin lift.

WHY 26%

Lock-in holds and Starboard extracts some efficiency, but growth deceleration and execution noise keep the lift partial. 26% as the plausible 'defends but under-delivers the activist plan' path.

WHAT HAPPENS

Underlying growth settles around ~6% as AEC and cloud (Forma/Fusion) only partly offset a maturing core, and Starboard wins a partial cost program — operating margin grinds from low-20s toward ~27%, well short of ~45%. FCF margin firms toward ~30% but the re-rate is muted.

DCF ~$216 (-1%) — a 'matures but defends, margins only partly improve' path lands roughly at today's price. The switching-cost lock-in keeps the multiple from collapsing; the upside is capped without the full margin program.

BASE $303.52

+24.0% vs spot

Probability 34%

Underlying ~8-12%; margins to mid-30s.

WHY 34%

Requires lock-in to hold ~8-12% underlying growth AND Starboard to push margins materially higher over FY27-FY28 — consistent with the ~$500M stake, the comp realignment, and the under-earned margin gap. 34% as the central outcome.

WHAT HAPPENS

The modal path: underlying (cc, model-adjusted) growth holds ~8-12% as AEC/construction and cloud/AI (Fusion, Forma, agentic AI) compound on a mission-critical, ~98%-recurring base, while Starboard-driven cost discipline lifts operating margin from ~22% toward the mid-30s en route to the ~45% goal. FCF margin expands toward ~34%.

DCF ~$304 (+39%) — durable lock-in plus a credible margin program at ~21x terminal FCF re-rates the de-rated entry. On the lower underlying growth (not the +18% headline) the modal case still recovers well above spot; this is the core of the finding.

BULL $436.97

+78.5% vs spot

Probability 19%

Activist delivers; margins near 45%.

WHY 19%

Starboard's record plus a genuinely under-earned margin structure make a large lift credible; lock-in protects growth while costs are cut. ~19% weight on the activist plan substantially landing.

WHAT HAPPENS

Starboard's program lands close to plan: operating margin marches toward ~38% by FY30 (the ~45% adjusted target on a non-GAAP basis) on sales-optimization, headcount, and capital return, while AEC/construction + cloud/AI keep underlying growth low-teens. FCF margin inflects toward ~37%.

DCF ~$437 (+100%) - if the under-earned margin gap closes against a still-growing, locked-in franchise, the entry re-rates to a high-quality compounder multiple. This is the activist-success core of the bull.

ULTRA BULL $537.38

+119.5% vs spot

Probability 8%

Margins hit ~45%; AI/cloud re-accelerate.

WHY 8%

Everything works - the full activist margin target AND an AI/cloud growth re-acceleration AND a multiple re-rate. ~8%, the asymmetric upside.

WHAT HAPPENS

The full second act: Starboard's ~45% operating margin is reached, AI/cloud (Fusion, Forma, agentic design) re-accelerate underlying growth into the low-to-mid-teens, and Autodesk compounds as both a margin and a platform story. FCF margin reaches ~40%.

DCF ~$537 (+146%) - the franchise re-rates to a premium design-platform multiple as growth AND margins both inflect; ~8% probability, the long-duration tail the depressed entry is buying.

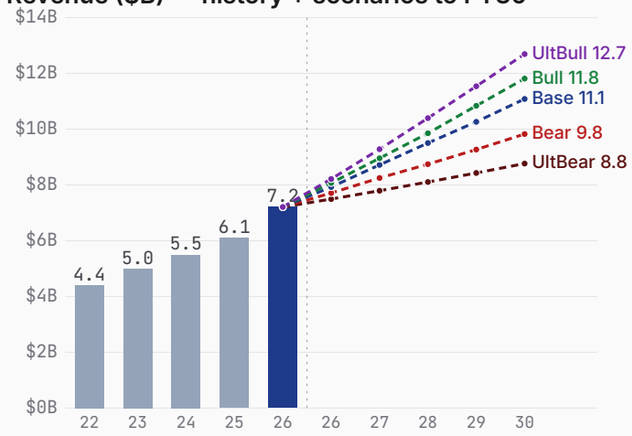
NOT INVESTMENT ADVICE · Not from a registered investment advisor · AI-assisted analysis · Author may hold positions · See full disclaimers, page 7

Autodesk business snapshot

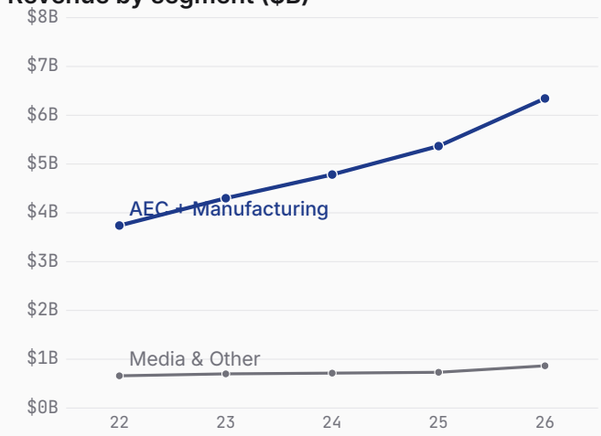
Bear $216.32 Base $303.52 Bull $436.97

FY22-FY26 history + FY26-FY30 scenario projections · fiscal years end late Jan · FQ1 FY2027 (Apr'26) results

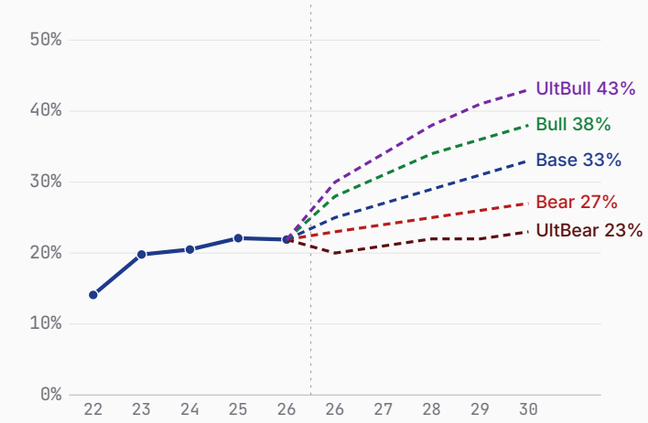
Revenue ($B) — history + scenarios to FY30



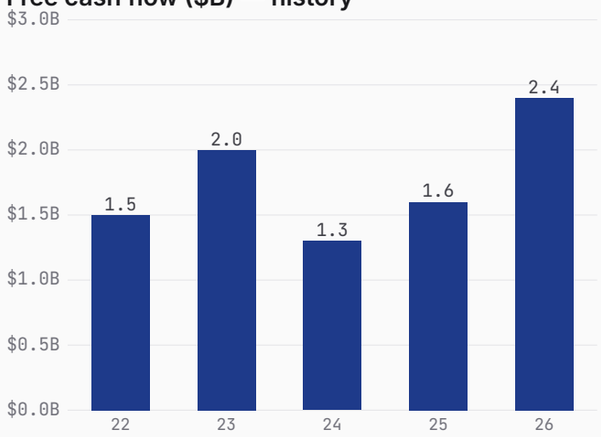
Revenue by segment ($B)



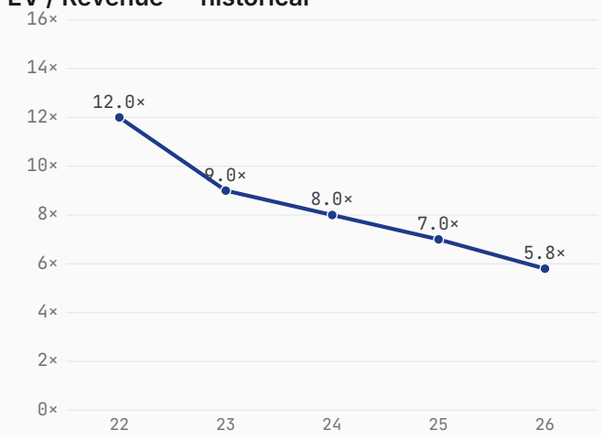
Op margin — history + scenarios



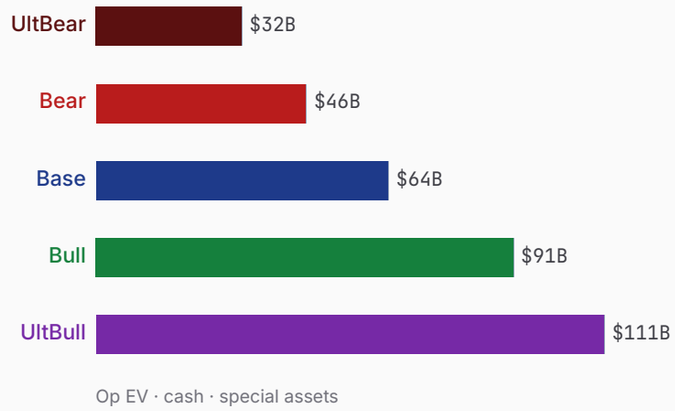
Free cash flow ($B) — history



EV / Revenue — historical



Equity build (Op EV + net cash)



Sources: SEC XBRL company facts (CIK 769397), Autodesk FQ1 FY2027 release (revenue $1.93B/+18% cc +16%, billings $2.13B/+18%, non-GAAP operating margin ~39%, FCF $876M/+58% seasonal peak, RPO $7.81B/+9%), Starboard ~$500M stake / ~45% FY28 operating-margin push. Revenue is a growth path off FY26 (base uses underlying cc/model-adjusted ~8-12%, NOT the +18% headline); FCF = revenue x FCF margin; Gordon terminal. Multiples vs PTC, ANSS, ADBE, DASSY.

NOT INVESTMENT ADVICE · Not from a registered investment advisor · AI-assisted analysis · Author may hold positions · See full disclaimers, page 7

Autodesk 7 Powers · the moat, scored

Bear $216.32 Base $303.52 Bull $436.97

Arena. Design/engineering software — Autodesk (CAD/BIM franchise: AutoCAD, Revit, Fusion, Construction Cloud) vs PTC, Dassault, Ansys, Bentley, Adobe, and emerging cloud-CAD; auditing a switching-cost Power against maturing growth and an activist-forced margin reset.

POWER AUDIT
dominant-power durability: high

POWER AUDIT · 7 POWERS

Scale Economies ■■■	R&D and go-to-market leverage across a ~$7.2B, ~98%-recurring base; large vs CAD peers, the cost base Starboard is targeting.
Network Economies ■■□	File-format + ecosystem effects (.dwg/.rvt as industry standards, partner/plug-in ecosystem) — real but more standard than two-sided network.
Counter-Positioning ■□□	Was the desktop-CAD disruptor; now the subscription incumbent, with cloud-CAD challengers counter-positioning against it.
Switching Costs · thesis leans here ■■■	The dominant Power: CAD/file-format lock-in (.dwg/.rvt), trained workforces, BIM mandates and deep workflow integration make migration costly and rare.
Branding ■■■	AutoCAD/Revit are category-defining, mission-critical brands with pricing power across architecture/engineering/manufacturing.
Cornered Resource ■■□	The installed file-format standards + decades of drawing data are a quasi-cornered asset, though not legally exclusive.
Process Power ■■□	Emerging via the Starboard cost program (sales-optimization, comp realignment) and cloud/AI delivery — the margin-expansion lever, unproven at the ~45% target.

PEER SET

PTC — 10% gr · 27% mgn · ~30x EV/FCF
CAD/PLM peer (Creo, Windchill); recurring-software comp on growth and margin.

Dassault Systemes — 8% gr · 30% mgn · ~30x P/E
CAD/PLM scale leader (SolidWorks, CATIA, 3DEXPERIENCE); the closest large-cap design franchise.

Ansys — 11% gr · 40% mgn · ~30x EV/FCF
Simulation leader (now Synopsys-owned); adjacency in engineering software.

Bentley Systems — 10% gr · 28% mgn · ~35x P/E
Infrastructure-engineering software; direct AEC competitor in civil/infrastructure.

THREAT VECTORS · FALSIFIERS

Switching Costs · Cloud-CAD challengers / open file formats
falsifier: A credible browser-native CAD platform or open .dwg/.rvt interoperability erodes lock-in and lifts churn.

Scale Economies · Maturing growth + construction/manufacturing cycle
falsifier: Underlying (ex-billing-change) growth decelerates below ~6% as end-markets soften, de-levering the operating model.

Process Power · Starboard rebuffed / margin program stalls
falsifier: Operating margin stays near ~22% and the ~45% target slips, confirming the under-earned gap won't close.

COMPETITIVE READ

Autodesk's dominant Power is switching costs — CAD/file-format lock-in (.dwg/.rvt), trained workforces, BIM mandates, and deep workflow integration make its ~98%-recurring base sticky and mission-critical, durability high — reinforced by category-defining branding and real scale. The live audit question is not whether the moat holds but whether two things stack on top of it: a maturing top line (the +18% as-reported figure is flattered by the billing change; underlying is ~8-12%) and a Starboard-forced lift toward ~45% operating margin, a process-power catalyst that is unproven at target. The threats are a cloud-CAD/open-format challenge to lock-in, a construction/manufacturing cycle, and the activist program stalling. The ~26% de-rate to ~19x FCF prices maturing growth heavily; the DCF tests lock-in plus the margin catalyst, and the bear is ~flat (-1%), the modal case +39% on the lower underlying growth — cheap quality with a catalyst, with activist/execution noise the watch-out.

NOT INVESTMENT ADVICE · Not from a registered investment advisor · AI-assisted analysis · Author may hold positions · See full disclaimers, page 7

Autodesk show your work

Bear $216.32 Base $303.52 Bull $436.97 · Weighted $304.79 (+24.5%)

ULTRA BEAR $148.74

ASSUMPTIONS

5y revenue CAGR (%)	+4.0
Year-5 op margin (%)	23.0
WACC (%)	9.5
Terminal growth (%)	3.0
Terminal FCF ($B)	$2.37B
Starting revenue ($B)	7.21
Scenario probability (%)	13

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	7.49	+20%	+1.80	+1.64
FY27	7.79	+21%	+1.95	+1.63
FY28	8.11	+22%	+2.11	+1.61
FY29	8.43	+22%	+2.19	+1.52
FY30	8.77	+23%	+2.37	+1.50

Σ PV explicit FCF	+7.90
+ PV terminal (g 3.0%)	23.83

EQUITY BUILD · $B & PER SHARE

Operating EV	$31.73B
+ Cash & investments	$2.60B
− Total debt	$2.50B
= Equity value	$31.83B
FY30 shares (M)	214
= Expected per share	**$148.74**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$234.15	$368.61	$580.28	$913.50
0.96×	1.51×	2.37×	3.73×

BEAR $216.32

ASSUMPTIONS

5y revenue CAGR (%)	+6.4
Year-5 op margin (%)	27.0
WACC (%)	9.0
Terminal growth (%)	3.5
Terminal FCF ($B)	$2.95B
Starting revenue ($B)	7.21
Scenario probability (%)	26

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	7.71	+23%	+2.08	+1.91
FY27	8.25	+24%	+2.31	+1.94
FY28	8.75	+25%	+2.54	+1.96
FY29	9.27	+26%	+2.78	+1.97
FY30	9.83	+27%	+2.95	+1.92

Σ PV explicit FCF	+9.70
+ PV terminal (g 3.5%)	36.06

EQUITY BUILD · $B & PER SHARE

Operating EV	$45.76B
+ Cash & investments	$2.60B
− Total debt	$2.50B
= Equity value	$45.86B
FY30 shares (M)	212
= Expected per share	**$216.32**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$332.84	$512.11	$787.94	$1,212.35
1.36×	2.09×	3.22×	4.95×

BASE $303.52

ASSUMPTIONS

5y revenue CAGR (%)	+9.0
Year-5 op margin (%)	33.0
WACC (%)	8.5
Terminal growth (%)	3.5
Terminal FCF ($B)	$3.77B
Starting revenue ($B)	7.21
Scenario probability (%)	34

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	7.93	+25%	+2.30	+2.12
FY27	8.72	+27%	+2.70	+2.30
FY28	9.50	+29%	+3.04	+2.38
FY29	10.26	+31%	+3.39	+2.44
FY30	11.09	+33%	+3.77	+2.51

Σ PV explicit FCF	+11.75
+ PV terminal (g 3.5%)	51.89

EQUITY BUILD · $B & PER SHARE

Operating EV	$63.64B
+ Cash & investments	$2.60B
− Total debt	$2.50B
= Equity value	$63.74B
FY30 shares (M)	210
= Expected per share	**$303.52**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$456.39	$686.25	$1,031.89	$1,551.61
1.86×	2.80×	4.21×	6.34×

BULL $436.97

ASSUMPTIONS

5y revenue CAGR (%)	+10.4
Year-5 op margin (%)	38.0
WACC (%)	8.0
Terminal growth (%)	4.0
Terminal FCF ($B)	$4.37B
Starting revenue ($B)	7.21
Scenario probability (%)	19

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	8.07	+28%	+2.50	+2.32
FY27	8.96	+31%	+2.96	+2.53
FY28	9.85	+34%	+3.45	+2.74
FY29	10.84	+36%	+3.90	+2.87
FY30	11.82	+38%	+4.37	+2.98

Σ PV explicit FCF	+13.43
+ PV terminal (g 4.0%)	77.36

EQUITY BUILD · $B & PER SHARE

Operating EV	$90.79B
+ Cash & investments	$2.60B
− Total debt	$2.50B
= Equity value	$90.89B
FY30 shares (M)	208
= Expected per share	**$436.97**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$642.05	$943.39	$1,386.14	$2,036.70
2.62×	3.85×	5.66×	8.32×

ULTRA BULL $537.38

ASSUMPTIONS

5y revenue CAGR (%)	+12.0
Year-5 op margin (%)	43.0
WACC (%)	7.8
Terminal growth (%)	4.0
Terminal FCF ($B)	$5.08B
Starting revenue ($B)	7.21
Scenario probability (%)	8

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	8.21	+30%	+2.63	+2.44
FY27	9.28	+34%	+3.25	+2.80
FY28	10.40	+38%	+3.85	+3.07
FY29	11.54	+41%	+4.50	+3.33
FY30	12.69	+43%	+5.08	+3.49

Σ PV explicit FCF	+15.13
+ PV terminal (g 4.0%)	95.47

EQUITY BUILD · $B & PER SHARE

Operating EV	$110.60B
+ Cash & investments	$2.60B
− Total debt	$2.50B
= Equity value	$110.70B
FY30 shares (M)	206
= Expected per share	**$537.38**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$782.30	$1,138.86	$1,657.92	$2,413.55
3.20×	4.65×	6.77×	9.86×

NOT INVESTMENT ADVICE · Not from a registered investment advisor · AI-assisted analysis · Author may hold positions · See full disclaimers, page 7

Autodesk People · Opportunity · Context · Deal

Bear $216.32 Base $303.52 Bull $436.97

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

PEOPLE · WHO RUNS / OWNS / FUNDS IT

Andrew Anagnost

9 yrs in seat

0.5%
insider ownership

LOW
key-person risk

Capital allocation (realized)
Disciplined capital return. No dividend since 2004; buybacks are the primary return and are accelerating ($1.4B in FY2026 against a $10B authorization), outpacing heavy SBC ($788M FY2026) so the share count net-declines (~229M in 2009 to ~211M in 2026). Balance sheet is roughly net-cash (~$3.0B cash + securities vs ~$2.5B notes). M&A is programmatic tuck-ins, not transformational.

Incentive alignment
CEO pay is heavily equity-weighted (FY2026 total ~$30.1M, ~90% stock, ~4% salary). Say-on-pay passed in 2026. Insider Form 4 activity is mostly grants + tax-withholding; a recent alignment signal is CFO Janesh Moorjani's open-market BUY of 2,500 shares (~$0.5M) in Jun 2026.

GOVERNANCE FLAGS

- single class, one vote per share; no controlling or super-voting holder
- strong structure: an independent Chair (Stacy Smith) separate from the CEO, 11 directors with 10 independent (~91%), all-independent committees, and an annually-elected (declassified) board
- central flag - a FY2024 audit-committee investigation into free-cash-flow / non-GAAP operating-margin practices (FY2022-24): discretionary spend, collections, and AP timing were informed by their effect on FCF/margin targets; NO restatement, but remedial measures and an NT 10-K / delayed 10-K resulted
- CFO turnover around the probe (Clifford → interim Rafael → permanent Moorjani, 2024)
- Starboard Value activist campaign (2024-25, ~$500M stake, publicly urged a CEO change) settled Apr 2025 with two new independent directors (Epstein, Simons) + a standstill

THE FOUR LEGS

People ●●●○○
observable composite · 1–5

Opportunity
The scenario distribution · the business snapshot · the Arthur Indicator

Context
The 7 Powers analysis (Power Audit)

Deal
Open-market common — entry price weighed against the probability-weighted fair value, then position-sized.
+24.5% vs spot $244.84

PEOPLE READ

Structurally clean governance - single-class one-vote, an independent Chair split from a long-tenured professional CEO, a ~91%-independent declassified board, and buyback discipline that shrinks the share count. Held to a 3 by the FY2024 free-cash-flow / non-GAAP-margin reporting investigation (no restatement, but a real control-environment flag), the CFO turnover around it, and the Starboard campaign that had to force accountability.

NOT INVESTMENT ADVICE · Not from a registered investment advisor · AI-assisted analysis · Author may hold positions · See full disclaimers, page 7

Autodesk supporting analysis · disclaimers · glossary

Bear $216.32 Base $303.52 Bull $436.97

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

1 **The +18% growth is a billing-model mirage.**
The agency→direct model inflates as-reported revenue/billings/FCF; the base uses the lower underlying ~8-12%, and still lands +39%.

2 **Switching costs are the real moat.**
CAD/file-format lock-in (.dwg/.rvt, trained workforces, BIM mandates) makes Autodesk mission-critical - the durability, not the growth rate.

3 **Starboard is forcing an under-earned margin.**
A ~$500M stake + proxy fight pushing ~45% operating margin by FY28 against ~22% today is the explicit margin catalyst, not a growth bet.

4 **Maturing growth is the live risk.**
Decelerating mid-teens (before the billing flatter), cyclical end-markets, and execution/CEO noise keep the bear (-1%) and ultra-bear (-32%) in play.

5 **Roughly net-cash-neutral; no solvency risk.**
$2.60B cash vs $2.50B debt (~$0.1B net cash) on $2.4B FCF — no solvency risk; the downside is multiple/margin execution.

FALSIFICATION TRIGGERS

Bull validation

Starboard margin program ratified, operating margin steps toward mid-30s+ · underlying (cc/model-adjusted) growth holds >=8% · RPO/billings re-accelerate ex-model-change · AEC + cloud keep outperforming

Bear validation

underlying growth decelerates below ~6% ex-billing-change · the activist program stalls and margins stay near ~22% · construction/manufacturing cycle turns down · CEO/execution disruption

Reframe needed

if the lock-in cracks (a cloud-CAD challenger or open file formats erode .dwg/.rvt switching costs) OR Starboard exits with margins unchanged, re-rate the terminal toward a slow-growth, mid-20s-margin software multiple

DISCLAIMERS · PLEASE READ BEFORE USING THIS DOCUMENT

Not investment advice.

This document is produced for entertainment and educational purposes only by an individual amateur investor. "Alameda Research 2: Electric Boogaloo" is the unincorporated personal concept of one person and is not a registered investment management entity. Nothing herein constitutes investment advice, a recommendation, or a solicitation to buy or sell any security.

Not a professional.

The author is not a registered investment advisor, broker-dealer, CFA charterholder, certified financial planner, or licensed financial professional of any kind. The author has no formal training in equity research or capital markets. No fiduciary relationship is created by reading this document.

AI-assisted analysis.

Substantial portions of this analysis were produced with the assistance of large language models. LLMs are known to fabricate facts, miscalculate numbers, hallucinate sources, and present incorrect information with high apparent confidence. Every figure, claim, and projection in this document should be independently verified before acting on it.

Forward-looking statements.

Scenarios, valuations, projections, and any forward-looking statements involve substantial assumptions and uncertainty. Actual results may differ materially from those projected. Past performance is not indicative of future results. The model is a model; reality is not.

Author may hold positions.

The author may own, intend to acquire, or hold short exposure to $ADSK or related securities at any time. Positions may change without notice and without an update to this document. Do not assume the author's positions match the tone of the analysis.

Do your own research.

Do not make investment decisions on the basis of this document. Consult a licensed financial professional and read the company's official SEC filings (10-K, 10-Q, 8-K, proxy) before forming any investment view. If you wouldn't trust your retirement to a chatbot, don't trust this either.

GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

Switching costs — Helmer Power: CAD/file-format lock-in (.dwg/.rvt), trained workforces, and BIM mandates that make leaving Autodesk costly — the dominant, durable moat.

Starboard / activist — Starboard Value's ~$500M stake and proxy fight pushing ~45% adjusted operating margin by FY28, comp realignment, and a CEO reassessment — the explicit margin catalyst (a process-power story).

AEC — Architecture, Engineering & Construction — Autodesk's largest segment (Revit, AutoCAD, Construction Cloud); the outperforming end-market plus Manufacturing (Fusion) drives the top line.

FCF margin — Free cash flow / revenue (~33% FY26 as-reported); the mature-DCF swing factor — whether the activist-forced operating-margin lift toward ~45% converts to free cash flow.

New transaction model — The agency→direct billing change that inflates as-reported revenue/billings/FCF growth; the base strips it out to the lower underlying (cc, model-adjusted) ~8-12% rate.